

Life, ICICI Prudential and HDFC Life benefiting from high commissions and relaxed regulation.

The second phase brought tougher times. After a period of rapid growth between FY07 and FY11, the Indian life insurance industry hit a slowdown over the next three years. This deceleration was driven by a combination of regulatory changes by Irdai—particularly the steep cut in commissions on unit-linked insurance products (ULIPs)—and underperformance in the equity markets. The changes led to an erosion of profit and derailed business plans, though it coincided with an increase in the FDI limit to 49%. “This also created the perception that India wasn’t a great insurance destination,” says Patni.

Now, in phase three, the mood is shifting, and newer players are entering the scene. Venture capital is flowing in, with funds looking to build and exit. “With 100% FDI now allowed, we can see more players along with ownership shifting toward investment funds,” Patni adds.

For years, foreign insurers keen to tap into India’s massive market had to hunt for the right local partner and navigate the maze of joint venture regulations. That barrier is finally gone. With full ownership now permitted, global players can set up shop directly, without being tied to domestic partners.

This is expected to deepen competition, push innovation, and expand access to insurance—especially in underserved regions with foreign capital flowing in. From 2000 to September 2024, India’s insurance sector attracted ₹82,847 crore FDI.

The decision to increase the FDI limit to 100% will lead to better capital influx and further strengthen the industry, says Sarbvir Singh, Joint Group CEO of financial services aggregator PB Fintech. “The infusion of international funds will boost competition and drive innovation, resulting in improved consumer offerings across the country. This will also enhance service quality and offer consumers greater choice while potentially making insurance more affordable,” he adds.

With the doors wide open now, foreign insurers can also choose how they want to enter India—either by starting afresh as fully-owned companies, by increasing their stake in existing JVs, or by buying out small players. Many JVs may now be re-evaluated, or buyouts of Indian partners could happen, especially where global insurers want full control or a greater role in strategic decisions.

Private equity (PE) firms got the regulator’s go-ahead in 2017 to invest directly in insurance companies. After that, KKR acquired a 9.9% stake in Shriram General Insurance in 2022. Warburg Pincus and

TOP DEALS



2025

► **Allianz is exiting both Bajaj Allianz General Insurance and Bajaj Allianz Life Insurance by selling its entire 26% stake in each company in transactions valued at ₹13,780 crore and ₹10,400 crore, respectively**



2024

► **Zurich Insurance acquires a 70% stake in Kotak General Insurance for ₹5,560 crore**



2022

► **Generali increases stake in Future Generali India Insurance to 74% through a deal worth ₹1,253 crore**



2022

► **Ageas Insurance International raises stake in Ageas Federal Life Insurance to 74% by acquiring 25% from IDBI Bank for ₹580 crore**



2021

► **HDFC Life acquires Exide Life Insurance for ₹6,687 crore to strengthen its position in the life insurance segment**



2021

► **Bharti AXA General Insurance was merged with ICICI Lombard**



2019

► **True North acquires 51% stake in Max Bupa Health Insurance for ₹511 crore**